Unit 1: Marketing & People – Knowledge Check Booklet (2–6 marks)

Purpose: Secure knowledge, application and analysis before 8, 10 and 20 mark exam questions

Common Case Study: EcoThread Clothing

EcoThread Clothing is a UK-founded sustainable fashion retailer established in 2016.

- Operates in 6 countries: UK, Ireland, Germany, Netherlands, France and Spain
- Has 48 physical stores across Europe and a fast-growing e-commerce platform
- Employs approximately 2,400 employees across retail, logistics and head-office roles

Products and operations:
- Sells sustainable casual clothing made from recycled polyester and ethically sourced cotton
- Products are designed in-house but manufactured by third-party suppliers in Bangladesh, Vietnam and Turkey
- Suppliers must comply with EcoThread's Ethical Sourcing Code

Market position and challenges:
- Targets 18–35-year-old, sustainability-aware but price-conscious consumers
- Positioned as a mid-price brand competing with fast-fashion retailers
- Facing rising production costs and intense competition

Exam rule: All application marks must clearly refer to EcoThread Clothing.

Section A – 2 Mark Questions (Define / Identify)

Exam rule: Each definition must include two distinct points to secure full marks.

1.3.1 Meeting customer needs

1. Define the term mass market. (2)

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2. Define market segmentation. (2)

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1.3.2 The market

3. Define price elasticity of demand (PED). (2)

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4. Define income elasticity of demand (YED). (2)

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1.3.3 Marketing mix and strategy

5. Define product differentiation. (2)

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6. Define branding. (2)

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1.3.4 Managing people

7. Define motivation. (2)

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8. Define span of control. (2)

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1.3.5 Entrepreneurs and leaders

9. Define an entrepreneur. (2)

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10. Define opportunity cost. (2)

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Section B – 4 Mark Questions (Explain)

Mark structure:
• 1 mark – Knowledge
• 2 marks – Application to EcoThread
• 1 mark – Analysis (impact on the business)

1.3.1 Meeting customer needs

Explain one reason why market segmentation is important to EcoThread Clothing. (4)

Student checklist:

☐ Define market segmentation (K)

☐ Apply to EcoThread's target customers (A1)

☐ Apply to product / pricing / promotion (A2)

☐ Analyse impact on sales or customer loyalty (An)

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1.3.2 The market

Explain one reason why price elasticity of demand is important for EcoThread when setting prices. (4)

Student checklist:

☐ Define PED (K)

☐ Apply to EcoThread's mid-price clothing (A1)

☐ Apply to fast-fashion substitutes (A2)

☐ Analyse impact on revenue (An)

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1.3.3 Marketing mix and strategy

Explain one way strong branding could benefit EcoThread Clothing. (4)

Student checklist:

☐ Define branding (K)

☐ Apply to EcoThread's sustainability image (A1)

☐ Apply to willingness to pay / loyalty (A2)

☐ Analyse impact on competitiveness (An)

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1.3.3 Marketing mix and strategy

Explain one reason why promotion is important to EcoThread's marketing strategy. (4)

Student checklist:

☐ Identify a promotion method (K)

☐ Apply to online / influencer marketing (A1)

☐ Apply to 18–35 target market (A2)

☐ Analyse impact on awareness or sales (An)

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1.3.4 Managing people

Explain one way employee motivation could improve EcoThread's performance. (4)

Student checklist:

☐ Identify a motivation method or theory (K)

☐ Apply to EcoThread staff (A1)

☐ Apply to productivity or service quality (A2)

☐ Analyse impact on costs or sales (An)

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1.3.4 Managing people

Explain one benefit of training to EcoThread Clothing. (4)

Student checklist:

☐ Identify a type of training (K)

☐ Apply to EcoThread employees (A1)

☐ Apply to efficiency or customer service (A2)

☐ Analyse impact on performance (An)

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1.3.5 Entrepreneurs and leaders

Explain one reason why entrepreneurial skills are important to EcoThread's founders. (4)

Student checklist:

☐ Identify an entrepreneurial skill (K)

☐ Apply to EcoThread's growth or innovation (A1)

☐ Apply to risk or competition (A2)

☐ Analyse impact on survival or growth (An)

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Section C – 6 Mark Questions (Analyse)

Mark structure (for every question):

- Two separate points are required
- Each point = 1 Point + 1 Application + 1 Analysis
- One-point answers are capped at 3 marks

1.3.1 Meeting customer needs

Analyse two factors that could influence EcoThread's choice of target market. (6)

Point 1:

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Point 2:

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1.3.2 The market

Analyse two factors that could affect the demand for EcoThread's clothing. (6)

Point 1:

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Point 2:

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1.3.3 Marketing mix and strategy

Analyse two ways the marketing mix could be adapted to improve EcoThread's competitiveness. (6)

Point 1:

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Point 2:

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1.3.4 Managing people

Analyse two ways employee motivation could improve EcoThread's performance. (6)

Point 1:

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Point 2:

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1.3.5 Entrepreneurs and leaders

Analyse two challenges EcoThread's entrepreneurs may face when expanding the business. (6)

Point 1:

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Point 2:

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